to institutionalize and make more credible the fight against inflation. With the good offices of mandarins in the finance ministry, this agreement was signed.

We also modernized our liquidity operations, including how we conducted money market operations, with the intent of deepening our money markets. Term repos and term reverse repos were introduced, and eventually, we announced a move away from the practice of keeping the entire banking system in liquidity deficit, which seemed to create unnecessary problems in the money markets, to keeping it liquidity neutral.

Finally, together with the government, we designed the framework for an independent monetary policy committee, which would take over the setting of policy from the Governor. A committee would bring more minds to bear on policy setting, preserve continuity in case a member had to quit or retire, and be less subject to political pressure, which was why I supported this move strongly. I was the last Governor to set policy individually (albeit with full consultation with my colleagues). The Government nominated its appointees to the monetary policy committee soon after I left office, and my successor Dr Urjit Patel's first policy was with the full monetary policy committee.

I set the parameters of our fight against inflation in a speech to the Fixed Income Money Market and Derivatives Association of India (FIMMDA) in February 2014. I sought to pinpoint the sources of inflation, especially food inflation, and why bringing it under control was in the farmer's interest. This was an extremely important point to make to the then governing UPA regime, which had a constituency that believed significantly higher food prices were in the farmers' interest.

More generally, the way to fight inflation, given the inconclusive skirmishes we had had in the recent past, was to signal that we were determined to bring it under control. But we also needed to do it in a way that could be tolerated by the Indian economy, which has many people with minimal cushions against adversity – I felt right from the beginning that doing a 'Volcker', that is, raising interest rates so high that demand collapsed, was simply not right for the Indian economy. However, I was sure that the heavily indebted interests would soon gather to oppose the RBI's agenda, and that any government's tolerance for tight monetary policy would wane. So we had to show results quickly. My speeches on inflation tried to explain our stance to the general public, even while trying to build public support in an environment that was sceptical that the RBI could control inflation.

Fighting Inflation